BRAND INVESTMENT ALLOCATION MODEL

For the same extra budget, how much growth depends on where it goes?

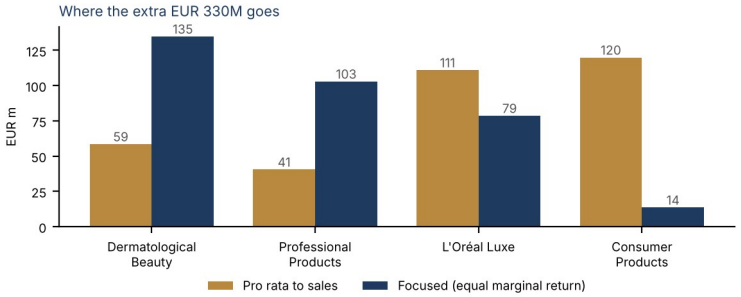
Independent, illustrative model by Anugraha SN (EDHEC). Division data from L'Oréal's H1 2026 results; response curves are my assumptions.

WHY THIS QUESTION

In the first half of 2026 L'Oréal raised advertising and promotion by 70 basis points to 32.6% of sales, and still reported a 21.3% operating margin. Growth was led by Dermatological Beauty (+11.3% like for like) and Professional Products (+12.6%), against +5.4% for L'Oréal Luxe and +4.1% for Consumer Products. Repeated over a year, 70 basis points is about EUR 330M. The question is how much the split of that sum matters.

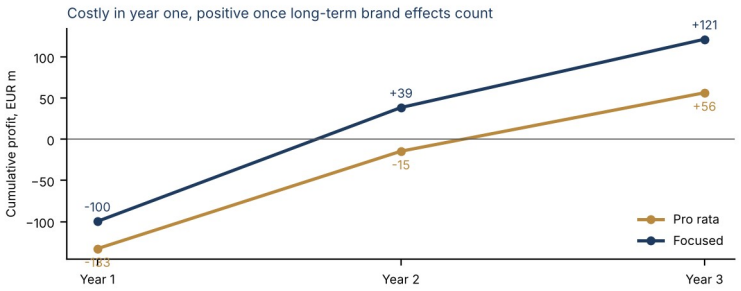
WHAT THE MODEL DOES

Each division has a response curve with diminishing returns: the first euro earns the most and each further euro earns less. The first-euro return is scaled to the division's H1 growth (1.0 euro of sales per euro for a division growing at the group rate of 6.8%), and a division saturates once it receives about 1.5% of its annual sales. Gross margin on extra sales is 74% and 60% of the sales effect persists into each following year. The model compares a pro rata split to sales with a focused split that equalises the return of the last euro in every division.



WHAT IT SHOWS

- **Focus adds growth, not a miracle.** The focused split adds about 311M of annual sales (0.65 points of group growth) against 266M pro rata, 1.17 times as much. Across the saturation and first-euro assumptions I tested the ratio ranges from 1.07 to 1.35.
- **Most of the gain comes from different responses.** If every division responds alike, the best split is equal and beats pro rata by only 1.03 times. The advantage comes mainly from putting money where the response is stronger.
- **The advantage fades as the budget grows.** The ratio is 1.46 at EUR 110M, 1.17 at 330M and 1.06 at 660M, because every division saturates.



- **The return builds over time.** Year one costs EUR 100M net (133M pro rata). Counting three years of persisting effect, the focused split earns 121M against 56M.

LIMITS AND NEXT STEP

Response curves, saturation level, gross margin and persistence are assumptions, not L'Oréal data, and the model ignores brand-specific effects, media mix, price and competitor moves. With past spend and sales by division and market I would estimate the curves, test them on years held back, and check how far the ranking of divisions holds. The Python code and an interactive version run on my laptop and I can demonstrate either live.